NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH, COURT-II

COMPANY PETITION NO. (CAA)-93 (ND)/2020
IN
COMPANY APPLICATION NO. CA (CAA)-84(ND)/2020

IN THE MATTER OF:

SECTION 230 to 232 OF THE COMPANIES ACT, 2013

AND

IN THE MATTER OF SCHEME OF AMALGAMATION

AMONGST

Ellora Commosales Private Limited

... Petitioner No.1 /Transferor Company

AND

Ayeasha Vincom Private Limited

...Petitioner No.2/Transferor Company

AND

Indus Eduinfrastructure Private Limited

...Petitioner No.3/Transferor Company

AND

Indus Infra Development Private Limited

...Petitioner No.4/Transferor Company

AND

Paramitra Holdings Limited

...Petitioner No.5/Transferor Company

AND

Banshidhar Developers Private Limited

...Petitioner No.6/Transferor Company

AND

Dhanterash Tradelink Private Limited

...Petitioner No.7/Transferor Company

AND

Nilachal Apartment Private Limited

...Petitioner No.8/Transferor Company

AND

Rangmahala Agency Private Limited

...Petitioner No.9/Transferor Company

AND

Subhdhan Marketing Private Limited

...Petitioner No.10/Transferor Company

AND

Topline Supplier Private Limited

...Petitioner No.11/Transferor Company

WITH

Param Mitra Investments Limited

...Petitioner No. 12/Transferee Company

ORDER DELIVERED ON : 02.08.2021

CORAM:

SH. ABNI RANJAN KUMAR SINHA, HON'BLE MEMBER (JUDICIAL)

SH. L.N. GUPTA, HON'BLE MEMBER (TECHNICAL)

PRESENT :

For the Petitioners : Sh. Manish Gupta, CS

ORDER

PER SHRI L. N. GUPTA, MEMBER (T)

This Petition is preferred jointly by the Transferor Companies and Transferee Company under Section 230 to 232 of Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 for the purpose of the approval of the Scheme of Amalgamation (hereinafter referred to as **'Scheme'** for brevity), as contemplated between the Companies, its Shareholders and Creditors. The copy of the Scheme has been placed on record. The details of the Companies proposed to be amalgamated, as placed on record, are given in the following paragraphs.

2. That Ellora Commosales Private Limited, (hereinafter referred to as "Petitioner-1/Transferor Company-1") was incorporated on the 16.03.2010 under the provisions of the erstwhile Companies Act, 1956 as a private company having its registered office at Flat No. 43, SFS Old Palam Marg, Basant Enclave Opp. 77, New Delhi-110057 with CIN number U51101DL2010PTC329088.

3. That Ayeasha Vincom Private Limited, (hereinafter referred to as "Petitioner-2"/"Transferor Company-2") was incorporated on the 13.03.2010 under the provisions of the erstwhile Companies Act, 1956 as a private company having its registered office at Flat No. 43, SFS Old Palam Marg Basant Enclave Opp. 77 New Delhi -110057 with CIN number U51909DL2010PTC329087.

4. That Indus Eduinfrasrastructure Private Limited, (hereinafter referred to as "Petitioner-2"/"Transferor Company-2") was incorporated on the 22.07.2010 under the provisions of the erstwhile Companies Act, 1956 as a private company having its registered office at 16A, 3rd Floor Najafgarh Road Shivaji Marg Moti Nagar New Delhi -110015 with CIN number U80903DL2010PTC206148.

5. That Indus Infra Development Private Limited, (hereinafter referred to as "Petitioner-3"/ "Transferor Company-3") was incorporated on the 17.08.2010 under the provisions of the erstwhile Companies Act, 1956 as a private company having its registered office at 16A, 3rd Floor Najafgarh Road Shivaji Marg Moti Nagar New Delhi -110015 with CIN number U45400DL2010PTC207148.

6. That Paramitra Holdings Limited, (hereinafter referred to as "Petitioner-4"/"Transferor Company-4") was incorporated on the 02.11.1994 under the provisions of the erstwhile Companies Act, 1956 as a private company having its registered office at 16A, 3rd Floor Najafgarh Road Shivaji Marg Moti Nagar New Delhi -110015 with CIN number U74899DL1994PLC062495.

7. That Banshidhar Developers Private Limited, (hereinafter referred to as "Petitioner-5"/"Transferor Company-5") was incorporated on the 17.02.2010 under the provisions of the erstwhile Companies Act, 1956 as a private company having its registered office at 129, Transport Centre, Rohtak Road Punjabi Bagh New Delhi -110035 with CIN number U45400DL2010PTC326326.

8. That Dhanterash Tradelink Private Limited, (hereinafter referred to as "Petitioner-6"/"Transferor Company-6") was incorporated on the 16.02.2010 under the provisions of the erstwhile Companies Act, 1956 as a private company

having its registered office at 129, Transport Centre, Rohtak Road Punjabi Bagh, New Delhi-110035 with CIN number U51909DL2010PTC326328.

9. That Nilachal Apartment Private Limited, (hereinafter referred to as "Petitioner-7"/"Transferor Company-7") was incorporated on the 17.02.2010 under the provisions of the erstwhile Companies Act, 1956 as a private company having its registered office at 129, Transport Centre, Rohtak Road Punjabi Bagh, New Delhi-110035 with CIN number U45400DL2010PTC326327.

10. That Rangmahal Agency Private Limited, (hereinafter referred to as "Petitioner-8"/"Transferor Company-8") was incorporated on the 27.11.2009 under the provisions of the erstwhile Companies Act, 1956 as a private company having its Registered Office at 16A, 3rd Floor Najafgarh Road Shivaji Marg Moti Nagar New Delhi -110015 with CIN number U51909DL2009PTC334796.

11. That Subhdhan Marketing Private Limited, (hereinafter referred to as "Petitioner-9"/"Transferor Company-9") was incorporated on the 16.02.2010 under the provisions of the erstwhile Companies Act, 1956 as a private company having its Registered Office at 16A, 3rd Floor Najafgarh Road Shivaji Marg Moti Nagar New Delhi -110015 with CIN number U51909DL2010PTC334797.

12. That Topline Suppliers Private Limited, (hereinafter referred to as "Petitioner-10"/"Transferor Company-10") was incorporated on the 13.02.2010 under the provisions of the erstwhile Companies Act, 1956 as a private company having its Registered Office at 16A, 3rd Floor Najafgarh Road Shivaji Marg Moti Nagar New Delhi -110015 with CIN number U51909DL2010PTC334799.

13. That Param Mitra Investments Limited, (hereinafter referred to as "Petitioner-11"/"Transferor Company-11") was incorporated on the 23.04.2013 under the provisions of the erstwhile Companies Act, 1956, having its Registered Office at 16A, 3rd Floor Najafgarh Road Shivaji Marg Moti Nagar New Delhi - 110015 with CIN number U67190DL2013PLC251048.

14. That the Shreyans Finlease Private Limited, (hereinafter referred to as Petitioner-12"/"Transferee Company") was incorporated on the 21.03.1996 under the provisions of the erstwhile Companies Act, 1956 as a private company having its registered office at 16A, 3rd Floor Najafgarh Road Shivaji Marg Moti Nagar New Delhi -110015 with CIN number U65910DL1996PTC278349.

15. That the present Petition has been filed jointly by all the Transferor Companies and Transferee Company. **All the 'Transferor' and 'Transferee' Companies together are called 'Petitioner Companies' hereinafter**. That the Registered offices of all the Companies being in Delhi, the jurisdiction lies with this Bench.

16. It is submitted by the Petitioner Companies that the Transferee Company will issue shares to the shareholders of all the Transferor Companies after this Scheme becomes effective in the following **share exchange ratio** :

Name of the Transferor Company	**1 Equity Share of Transferee Company for the following number of shares of Transferor Company**
Ellora Commosales Private Limited	0.01
Ayeasha Vincom Private Limited	0.01
Indus Eduinfrastructure Private Limited	0.10
Indus Infra Developers Private Limited	1.09
Paramitra Holdings Private Limited	243.24
Banshidhar Developers Private Limited	2.62

Dhanterash Tradelink Private Limited	4.09
Nilachal Apartment Private Limited	2.63
Rangmahala Agency Private Limited	3.06
Subhdhan Marketing Private Limited	3.46
Topline Supplier Private Limited	1.87
Param Mitra Investments Limited	2.11

17. From the records, it is seen that the First Motion petition was filed by the Petitioner Companies for seeking directions for dispensing with the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of all the Companies. This Tribunal, in the First Motion Application bearing No. CA(CAA) No. 84 (ND)2020, vide Order dated 23.11.2020 dispensed with the requirement of convening the meetings of the equity shareholders, secured creditors and unsecured creditors of all the companies.

18. The Appointed date as fixed for the Proposed Scheme of Amalgamation is 01st April, 2019.

19. Subsequent to the order of dispensation of meetings in relation to both the Transferor Companies and Transferee Company, the Second Motion petition was moved by the Petitioner Companies in connection with the scheme of Amalgamation for issuance of notices to the Central Government, Registrar of Companies NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator, Reserve Bank of India and to such other Objector(s), if any, and also for publication of the said Scheme. The said petition was admitted and directions were issued, vide Order dated 13.01.2021 of this Tribunal, requiring the Applicant Companies to serve notices to the Central Government, Registrar of Companies NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax

Authorities, Official Liquidator, and also to carry out necessary publication in English and Hindi newspapers with respect to the said Scheme.

20. It is submitted by the Petitioners that in compliance of the above stated directions, the Petitioners duly filed an Affidavit of Service by confirming that the aforesaid Notices of the present Company Petition were published on 22.01.2021 in Business Standard (English) and Business Standard (Hindi) newspapers. It is further submitted that the Petitioner Companies also served the Notices of the present Company Petition to all the statutory authorities.

21. It is submitted by the Petitioner Companies that the Official Liquidator has filed its report dated 01.03.2021, in which it has stated that it has not received any complaint against the proposed Scheme of Amalgamation from any person/party interested in the Scheme in any manner and that the affairs of the Transferor Companies do not appear to have been conducted in a manner prejudicial to the interest of its members, creditors or public.

22. The Regional Director has filed its report dated 23.03.2021 and raised some observations. However, at the time of final hearing on 20.07.2021, Ld. Counsel for the Petitioner submitted that they have complied with the directions given by Regional Director. Ld. Counsel for the Regional Director on the same date has submitted that they have no objections to the proposed Scheme.

23. It is also seen from the report of the Regional Director that in respect of Transferor Company No. 5 & 12, NOCs from Income Tax Department have been received. In respect of other companies nothing has been placed on record. None appeared on behalf of Income Tax Department on last day of hearing.

24. In terms of Section 230(5) of the Companies Act 2013, all Authorities are required to file their representations, if any, within 30 days from the date of receiving of notice failing which, it shall be presumed that they have no representations to make on the proposals. For the sake of convenience, Section 230(5) is quoted as below :

> *"(5) A notice under sub-section (3) along with all the documents in such form as may be prescribed shall also be sent to the Central Government, the income-tax authorities, the Reserve Bank of India, the Securities and Exchange Board, the Registrar, the respective stock exchanges, the Official Liquidator, the Competition Commission of India established under sub-section (1) of section 7 of the Competition Act, 2002, if necessary, and such other sectoral regulators or authorities which are likely to be affected by the compromise or arrangement and shall require that representations, if any, to be made by them shall be made within a period of thirty days from the date of receipt of such notice, failing which, it shall be presumed that they have no representations to make on the proposals."*

It is, therefore, presumed that the Income Tax Department has no representation to make in respect of the Scheme. However, in order to protect the interest of tax revenue, it is made clear that there shall be no impediment on the power and jurisdiction of the Income Tax Department in recovery of pending Income Tax dues, penalties etc., if any, as provided in the law.

25. In view of the foregoing facts and discussion and upon considering the approval accorded by the Members and Creditors of all Companies to the proposed Scheme and no sustainable objections having been raised by the Office of the Regional Director, Income Tax Department or any other interested

party, there does not appear to be any impediment in granting sanction to the Scheme. **Accordingly, in sequel to the above, sanction is hereby granted to the Scheme of Amalgamation proposed by the Applicant Companies under Section 230 to 232 of the Companies Act, 2013**. The sanctioned Scheme of Amalgamation shall be binding on the Transferor Companies and Transferee Company (the Applicant / Petitioner Companies) and their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with the statutory requirements in accordance with law.

26. Notwithstanding the above, if there is any deficiency found or violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Authority to the Scheme will not come in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Petitioner Companies.

27. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement, which may be specifically required under any law. Further the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961 or serve as any exemption or defense for the Petitioner Companies against tax treatment in accordance with the provisions of Income Tax Act, 1961.

28. **THIS TRIBUNAL FURTHER DIRECTS** with respect to Transferor companies and Transferee company, that:

(i) Upon the sanction becoming effective from the appointed date of amalgamation i.e., 1st April, 2019, the Transferor Companies No.1 to 11 shall stand dissolved without undergoing the process of winding up.

(ii) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Companies are entitled to including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

(iii) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Companies, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to

the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee company.

(vii) That any person interested shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

29. That the Petitioner Companies shall within thirty days of the date of the receipt of this Order cause a Certified Copy of this Order to be delivered to the Registrar of Companies for registration and on such Certified Copy being so delivered, the Transferor Companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company

and the files relating to all the Petitioner Companies shall be consolidated accordingly.

30. The Company Petition is **ALLOWED** in the above terms.

-Sd-

(L.N. GUPTA)
MEMBER (T)

-Sd-

(ABNI RANJAN KUMAR SINHA)
MEMBER (J)